
Case	Title / Nature of Case
2:00PM LINE 1	
22-CIV-04675	ANTHONY FREEMAN VS. SHELLPOINT MORTGAGE SERVICING
ANTHONY FREEMAN SHELLPOINT MORTGAGE SERVICING	DAVID A. BUTLER JONATHAN C. CAHILL

Defendant's Demurrer to Second Amended Complaint

TENTATIVE RULING:

Defendant's Demurrer is **SUSTAINED without leave to amend**. Defendant's Request for Judicial Notice is **GRANTED**.

This is plaintiff's third complaint in this action, which was filed nearly four years ago, on November 8, 2022. No bright-line rule exists regarding how many opportunities a party must be given to amend a complaint. (But see Code Civ. Proc., § 430.41, subd. (e)(1).) Although leave to amend is liberally allowed, such leave should not be granted where, in all probability, amendment would be futile. (*Foroudi v. Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1001.) It is the burden of the party seeking leave to amend to show the possibility that amendment can cure the legal defects of the pleading. (*A.J. Fistes Corp. v. GL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 687 (*A.J. Fistes*).)

If plaintiff seeks leave to amend, he should properly contest the tentative ruling and appear at the hearing (in person or via Zoom) to state facts that provide a reasonable possibility that he can state a cause of action as to the violations alleged.

A. Background

The Second Amended Complaint (SAC) defines as "the subject real property" realty located at 17 W. 6th Street, Stockton, CA 95206 (the Property). (SAC, ¶ 2.) On September 5, 2019, plaintiff allegedly gave a promissory note (the Note) in the amount of \$147,000.00 secured by a deed of trust on the Property to PS Funding, Inc., which Note and deed of trust were signed in San Mateo County, and which plaintiff collectively terms the "Loan." (*Id.*, ¶ 3.) Plaintiff alleges that defendant is the current servicer of the Loan. (*Id.*, ¶ 4.) Defendant shows the Loan to have been paid in full and the interest held by the deed of trust reconveyed in June 2022. (Defendant's RJN, exh. 2.)

This court sustained defendant's demurrer to the First Amended Complaint because "Plaintiff's additional causes of action rely on the apparently time-barred allegation of the CCRAA, or else are so uncertain that it cannot be ascertained what is being alleged." (Order, filed April 15, 2026, exh. A, at p. 3:13-16.)

Defendant now demurs to the SAC and to each of its causes of action, asking that leave to amend be denied.

B. Legal Standards for Demurrer

“[I]t is well settled that a general demurrer admits the truth of all material factual allegations in the complaint [citation]; that the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court [citations]; and that plaintiff need only plead facts showing that he may be entitled to some relief [citation].” (*John’s Grill, Inc. v. The Hartford Financial Services Group, Inc.* (2024) 16 Cal.5th 1003, 1013 (*John’s Grill*), quoting *Alcorn v. Ambro Engineering, Inc.* (1970) 2 Cal.3d 493, 496 (*Alcorn*).)

A court reviewing a demurrer accepts as true the facts alleged in the complaint as well as those of which it may take judicial notice (*John’s Grill, supra*, 16 Cal.5th at p. 1008, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318), but does not “assume the truth of contentions, deductions or conclusions of law.” (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967 (*Aubry*).)

To properly state a cause of action, a complaint must allege every element of that cause of action. (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1134.) And to be sustained, a “demurrer must dispose of an entire cause of action.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

“[I]t is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (*Aubry, supra*, 2 Cal.4th at p. 967.) Leave to amend should not be granted where, in all probability, amendment would be futile. (*Foroudi, supra*, 57 Cal.App.5th at p. 1001.) The party seeking leave to amend has the burden of demonstrating the possibility that amendment can cure the legal defects of the pleading. (*A.J. Fistes, supra*, 38 Cal.App.5th at p. 687.)

C. The Demurrer is Sustained Without Leave to Amend

Defendant asserts that the sole factual basis of the SAC is its allegation that defendant furnished inaccurate information to the credit-reporting agencies, Experian, Transunion, and Equifax, on or about November 8, 2019, citing paragraph 10 of the FAC. The SAC alleges that this inaccurate disclosure occurred on or about December 15, 2020. (See SAC ¶¶ 11, 13.) Defendant urges that the change in the alleged date of the reporting should be treated as a sham pleading.

The SAC also alleges that “[o]n or about December 18, 2020, Plaintiff and Defendant entered into credit transaction” in the amount of \$145,000 secured by the Property. (*Id.*, ¶ 19; *see also id.*, ¶ 31.) The SAC further alleges that “The transaction was consummated on or about [date].” (*Id.*, ¶ 20 [note that this is the second paragraph numbered “20.”]) Thus, the SAC contradicts itself as well as the FAC with respect to the alleged date of the credit transaction, as well as the allegedly inaccurate reporting. Moreover, defendant notes that the SAC now alleges that “Defendant prepared and furnished a consumer credit report concerning Plaintiff that

contained inaccurate information regarding the timeliness of *defendant's* payments.” (SAC, ¶ 11, italics added; see also Opp., at p. 5:15.)

Plaintiff's allegations in the SAC are further internally inconsistent as to when credit was extended and when the defendant allegedly misreported plaintiff's payment history to the credit reporting agencies, and significantly, whether the Property was plaintiff's residence. See, e.g., SAC, ¶ 1 [“At all relevant times herein, the Plaintiff has resided in the City of El Sobrante, County of Contra Costa, State of California”]; *id.*, ¶ 11 [on December 15, 2020, defendant “prepared and furnished a consumer credit report concerning Plaintiff that contained inaccurate information regarding the timeliness of defendant's payments” to some unspecified person or entity]; *id.*, ¶ 19 [on or about December 18, 2020, plaintiff and defendant entered into a credit transaction secured by “Plaintiff's principal dwelling located at 17 West 6th St., Stockton, CA, San Joaquin County]; *id.*, ¶ 48 [“On or about December 2020 Plaintiff obtained a mortgage loan from Shellpoint in the amount of \$145,000.00 secured by real property located at 17 West 6th St., Stockton, CA San Joaquin County, which never became plaintiff's principal residence.”]. At best, the complaint is uncertain.

The third cause of action of the SAC further alleges that on or about December 30, 2020, defendant charged plaintiff fees for servicing plaintiff's mortgage on the Property, and that conduct relating to this loan is also alleged as a basis for plaintiff's claims. In the fourth cause of action, plaintiff alleges that he fell behind on that mortgage and was at risk of foreclosure (SAC, ¶ 50), and lost both the property and equity in the property. (*Id.*, ¶ 59).

Defendant generally argues that plaintiff should plead more facts, and plaintiff counters that defendant improperly seeks to resolve factual disputes at the pleading stage such as whether the Loan falls under TILA or whether RESPA applies. Defendant persuasively argues that information necessary to plead the asserted causes of action is missing from the SAC, so that defendant must guess which violations actually are alleged.

In his Opposition, plaintiff asserts that the SAC somehow also concerns “509 Rincon Rd., El Sobrante CA, occupied by the plaintiff per the note agreement Section one of Exhibit 1.” (Opp., at p. 1:25-26.) The SAC contains no such allegation, and an opposition cannot amend or modify a complaint. “Matters outside the complaint must be left for a determination at trial.” (*Noguera v. North Monterey County Unified School District* (1980) 106 Cal.App.3d, 64, 65.)

The Opposition inaccurately states that the SAC alleges that the Note was “secured by a deed of trust on property located at 17 West 6th Street, Stockton, California and 509 Rincon Rd El Sobrante CA.” (Opp., at p. 2:17-19, emphasis in original.) The SAC does not only not allege that the Note was not secured by a deed of trust on the El Sobrante property, both the deed of trust and its full reconveyance (defendant's RJN, exhs. 1 & 2) refer only to the San Joaquin Property. The former, moreover, shows only the Property in the Legal Description (*id.*, exh. 1, at p. 18) and in its footers. (*Id.*, at pp. 6-19.) Further, although the Opposition refers to a “Construction Loan Agreement” as its Exhibit 1, it is not recorded, and it does not specify the El Sobrante realty. (Opp., exh. 1.)

In the second cause of action, the SAC alleges that plaintiff discovered the violation of the disclosure requirements of the TILA and the right to rescind the loan transaction in August 2021 (SAC, ¶ 24), which date plaintiff argues triggers the two-year statute of limitations for the first cause of action. The Opposition seems to add that defendant has continued knowingly to make false reports that the Loan on the Property was in foreclosure or foreclosed. “Fresh new violation while claiming time barred.” (Opp., at p. 5:10; *see also id.*, at p. 5:4-10.) Not only is this contention regarding more recent allegations not alleged in the SAC (which appears to focus on false reports before filing a notice of default [*see, e.g.*, SAC, ¶¶ 53-54]), this argument does not discuss any misreporting of a foreclosure at the El Sobrante address, despite the earlier assertion in the Opposition discussed above.

Arguing as to the second cause of action, plaintiff asserts that defendant characterizes the Loan as a construction loan so that TILA does not apply, claiming that the “SAC alleges the transaction involved Plaintiffs principal dwelling.” (Opp., at p. 6:16-17.) In fact, the SAC alleges the opposite, that the Property (at 17 W. 6th St., Stockton, CA, in San Joaquin County) “never became plaintiff’s principal residence.” (*Id.*, ¶ 48.) Indeed, the SAC alleges that “At all relevant times herein, the Plaintiff has resided in the City of El Sobrante, County of Contra Costa, State of California.” (SAC, ¶ 1.) Plaintiff adds more unclear assertions, and then argues inconsistently with the SAC that, “The note agreement specifies they put additional lien against 509 Rincon Rd El Sobrante CA 94803 which is undisputed personal residence.” (Opp., at p. 6:27-28.)

As to the third cause of action, plaintiff appears to argue that defendant asserts that the RESPA does not apply because the Loan is a construction loan rather than a consumer loan, but defendant treated it as a consumer loan, and whether it falls within the scope of RESPA is a factual question. However, plaintiff appears to be discussing a loan concerning realty other than the Property that is the subject of the SAC. (*Compare* SAC, ¶ 2 [identifying the Property], *with* Opp. at p. 7:24-25 [“Construction loan agreement specified lien against owner occupied property at 509 Rincon Rd El Sobrante CA 9403 making this RESPA valid loan.”].) Plaintiff further confusingly and inconsistently argues that, “The SAC alleges the violations occurred on or about December 30, 2020. This action was filed on November 8, 2022 *within the one-year statute of limitations* for section 2607 claims if the violation occurred in December 2020.” (Opp., at p. 8:27-9:2, *emphasis added.*)

As to the fourth cause of action, plaintiff asserts that the court may not take judicial notice of disputed facts, that defendant tries to use judicially noticed documents “to establish that the loan is a construction loan, that it was originated by PS Funding, and that it was paid in full and released,” and that these factual assertions contradict or exceed the scope of the SAC and may not be used to resolve factual disputes on demurrer. (Opp., at p. 10:16-18.) However, as discussed below, the court may take judicial notice of legally operative language as long as the authenticity of the document is not disputed, even if it may not take judicial notice of disputed facts therein.

Moreover, while plaintiff asserts that whether the Loan was for residential or business purposes is a factual dispute inappropriate to resolution on demurrer, Exhibit 1 to his Opposition

states that: “You hereby confirm your representation to us that no loans under this Agreement are intended to be used or shall be used for anything other than business and/or commercial (non-consumer) purposes).” (Opp., at p. 25; exh. 1, ¶ 24.) Exhibit 1 to the Opposition defeats plaintiff’s arguments. That is, Exhibit 1 titled, “Construction Loan Agreement” and subtitled “PROPERTY ADDRESS: 17 West 6th Street, Stockton, CA 95206” (Opp., exh. 1, at p. 14), shows that the Loan is a commercial loan, and that it identifies the legal description only of the Property. (*Id.*, exh. 1, at pp. 28-30.)

In sum, the SAC does not state any viable causes of action, and the demurrer is **SUSTAINED without leave to amend.**

D. Defendant’s Request for Judicial Notice

Defendant’s Request for Judicial Notice (RJN) is **GRANTED**. (Evid. Code, § 452, subds. (c) & (h), & § 453). However, judicial notice of these documents is limited to the “fact of a document’s recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document’s legally operative language, assuming there is no genuine dispute regarding the document’s authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face.” (*Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265, citations omitted and disapproved on other grounds by *Yvanova v. New Century Mortg. Corp.* (2016) 62 Cal.4th 919.)

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, defendant shall prepare a written order consistent with the court’s ruling for the court’s signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the “prevailing party on a tentative ruling is required to prepare a proposed order ***repeating verbatim the tentative ruling***” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00PM LINE 2

23-CIV-00194

THOMAS BRYCE, M.D., PH.D VS ROY VAID, M.D.

THOMAS BRYCE, M.D.
ROY VAID, M.D., PH.D.

RICHARD E. MUNZINGER
MARCO QUAZZO

Petitioner's Motion for Leave to Amend the Complaint

TENTATIVE RULING:

Plaintiff Thomas Bryce's Motion for Leave to Amend the Complaint is **GRANTED, in part**. Plaintiff's Request for Judicial Notice is **GRANTED**, but not for the truth of the matters therein.

A. Background

This action for supervision of voluntary dissolution of Quality Nighthawk Teleradiology Group, Inc. (QNH) and damages for breach of fiduciary duty, has been pending for over three years. (Petition for Supervision of Voluntary Dissolution and Complaint, filed on January 13, 2023, ¶ 1.) Plaintiff and defendant Roy Vaid each owned 50% of the shares of QNH, a "teleradiology" business in which the company's radiologists provided radiological review and analysis services remotely for various customer entities.

Vaid argues that Bryce waited two years before commencing meaningful discovery and has delayed three years in seeking to amend his complaint, resulting in an increase in defendant's discovery burden and a delay in trial. Bryce counters that Vaid's bankruptcy filing on behalf of QNH and failure to adequately respond to discovery caused significant delay. On balance, and in light of the strong policy in favor of granting leave to amend, Vaid has not demonstrated a level of prejudice that warrants denying leave, particularly because there is no trial date yet set in this matter.

B. Legal Standard

"[J]udicial policy favors resolution of all disputed matters between the parties in the same lawsuit." (Weil & Brown, *Cal. Prac. Guide: Civ. Proc. Before Trial* (Rutter, June 2026 Update) ¶ 6:638 (Weil & Brown).) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court of Cal. In and For Los Angeles County* (1959) 172 Cal.App.2d 527, 530.)

"Ordinarily, the judge will not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. Grounds for demurrer or motion to strike are premature. After leave to amend is granted, the opposing party will have the opportunity to
